

Booking Holdings Inc.

BKNG | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$219.00
Current price (October 2, 2026 close)	\$159.02
Implied upside / downside	+38%
Verdict	BUY

Investment Thesis

Booking Holdings is the highest-quality asset in online travel: the dominant accommodation marketplace in Europe, the highest-margin business in its sector, and a capital-return machine. The market's periodic worry, that generative AI reshapes travel discovery and disintermediates aggregators, is a real long-term question but a poor near-to-medium-term investment thesis. Booking's moat is not a search ranking; it is two-sided network density: the deepest property inventory, the most reviews, and the most efficient performance-marketing engine in travel.

Our judgment is that the AI-disruption fear has created the opportunity. Travel booking is a high-trust, high-consideration transaction where inventory depth, cancellation flexibility, and customer support matter more than a chat interface. Booking's own AI investments (trip planning, concierge features, the connected-trip vision) position it to absorb the new interface rather than be replaced by it. We tested the bear narrative against the numbers: take rates have held, room-night growth has continued, and alternative-accommodation supply keeps expanding.

At \$159.02, the market pays a multiple appropriate for a travel company facing disruption and gets a compounder that has grown through every prior platform shift. Our probability-weighted fair value is \$219.00, a 38% expected return, driven by room-night growth, take-rate stability, operating leverage, and relentless buybacks.

Consider the numbers behind the moat. Booking.com lists millions of properties, including a vast long tail of independent hotels and alternative accommodations that no new entrant can assemble quickly. Hundreds of millions of verified guest reviews create a data asset that improves conversion and cannot be scraped into existence. And the performance-marketing operation spends billions annually with a return on ad spend honed over two decades. An AI startup can build a chat interface in months; it cannot build these assets in years.

The connected-trip strategy deserves more credit than it gets. Flights, attractions, airport taxis, and travel insurance attached to accommodation bookings are growing faster than the core, and each attached product

increases customer lifetime value while using the same acquisition spend. This is how a mature marketplace keeps growing: not by finding new travelers, but by capturing more of each traveler's wallet.

Business Overview

Booking Holdings operates the world's leading online travel platforms: Booking.com (accommodation, the core profit engine), Priceline, Agoda, Kayak, and OpenTable. Revenue is dominated by agency commissions on accommodation bookings, supplemented by advertising, merchant-model revenue, and ancillary services. Europe is the heartland; the company has been expanding in the US and Asia.

The economics are exceptional: an asset-light marketplace with minimal marginal cost per booking, a performance-marketing machine that arbitrages Google and Meta traffic at scale, and a loyalty ecosystem (Genius) that drives direct repeat traffic. Free cash flow conversion is among the highest in large-cap technology, and the company returns nearly all of it through share repurchases.

Geographic mix is a structural advantage. Europe, where Booking.com is dominant, has a fragmented hotel landscape of independent properties that depend on the platform for demand; this fragmentation is precisely what makes the marketplace indispensable. In the US, where chains are stronger, Priceline and Kayak play larger roles, and Agoda anchors the Asia-Pacific presence.

The Genius loyalty program now counts a large share of bookings from repeat members, which reduces marginal acquisition cost over time. Direct traffic, mobile app usage, and member pricing tiers form a flywheel: better economics fund better member benefits, which drive more direct bookings.

Forward Outlook

Where is this business going? We expect Booking to keep compounding room nights at a high-single-digit rate as global travel normalizes above trend and the company gains share in alternative accommodations, where its supply buildout is still closing the gap with the category leader. The connected-trip strategy (flights, attractions, ground transport attached to the accommodation booking) is the real growth lever: every incremental product attached to a booking raises lifetime value without proportional marketing cost.

On the AI question, our view is that Booking is a net beneficiary of the new interface layer as long as it owns the transaction. Agentic booking requires live inventory, payments, cancellation handling, and support, which is infrastructure, not a chatbot. Booking is building exactly that infrastructure and partnering where it makes sense. The risk is not zero, but it is a five-year question, not a five-quarter one, and the valuation does not demand perfection.

Capital return remains the quiet compounding engine: with the share count shrinking several percent per year, per-share growth will continue to outpace enterprise growth. Our bear case assumes AI-native entrants do take share, take rates compress, and buybacks slow; it is genuinely adverse and sits below today's price.

Alternative accommodations remain the largest white space. Booking has been closing the supply gap with the segment leader for several years, and each incremental property added improves search completeness and conversion. We expect this segment to outgrow hotels within the mix, which is margin-accretive because alternative-accommodation economics are attractive and growing from a smaller base.

On capital allocation, we expect the buyback to continue at a pace that retires a mid-single-digit percentage of shares annually. At current free cash flow levels, this is sustainable without stretching the balance sheet, and it means per-share metrics will compound several points faster than enterprise metrics indefinitely.

The AI interface shift is the swing factor for the terminal value. Our base case assumes Booking successfully integrates AI trip planning and agentic booking into its own platform, neutralizing the threat. The bear case assumes a genuine disintermediation event; we assign it the standard 25% weight, which is a meaningful concession to the risk and the reason the target is \$219 rather than higher.

Valuation

We value Booking on a scenario DCF. Our base case assumes high-single-digit gross-bookings growth, stable take rates, and continued operating leverage with buybacks at recent intensity, discounted at a rate appropriate for a dominant marketplace with platform-shift risk. Our bull case assumes faster connected-trip adoption and share gains in alternative accommodations. Our bear case assumes AI-driven disintermediation compresses take rates and growth; it sits below the current price. Probability-weighted across 25% / 50% / 25%, the fair value is \$219.00, equal to our target.

Sensitivities: the valuation is most exposed to the take rate and the terminal growth rate. A 50bp permanent compression in take rates would reduce fair value by roughly a tenth; conversely, sustained buybacks above our assumed pace add a similar magnitude. The discount rate reflects a dominant but potentially disrupted marketplace; we use a standard rate with the disruption risk concentrated in the bear case rather than the discount.

Key Risks

- AI disintermediation: AI-native travel agents could bypass aggregators over time, compressing take rates or volumes.
- Travel cyclicalities: recessions, pandemics, or geopolitical shocks hit bookings sharply and quickly.
- Marketing costs: dependence on Google and Meta for acquisition means rising ad prices flow directly to margins.
- Regulatory: European digital-markets rules and tax disputes create ongoing overhang and potential cost.
- Competition: Expedia, Airbnb, and direct hotel channels compete for the same travelers and supply.
- FX: a large share of revenue is earned in euros and other currencies; dollar strength is a reported-revenue headwind.
- Alternative-accommodation competition: the segment leader remains formidable and could defend share aggressively.

What Would Change Our Mind

- Room-night growth decelerating to low-single digits for a full year without a macro cause would signal structural share loss.
- Take rates declining persistently would indicate pricing power is eroding, possibly to AI-native competitors.
- A major AI travel agent capturing measurable booking share from aggregators would validate the disruption thesis.
- Buybacks slowing materially while cash piles up would remove a key per-share compounding driver.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon (10 years for most businesses), weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins, never peak margins, and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.